

VENDOR SERVICE AGREEMENT

Between "TechCorp Inc." (Client) and "CloudServices Ltd." (Vendor)

Effective Date: June 1, 2025 | Contract No. VSA-2025-0047

RECITALS

WHEREAS, Client desires to obtain software maintenance, monitoring, cloud infrastructure management, and technical support services for its production systems; and

WHEREAS, Vendor possesses the requisite expertise, personnel, and infrastructure to provide such services in accordance with industry best practices and the service levels set forth herein; and

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

ARTICLE 1 — DEFINITIONS

1.1 "Agreement"

means this Vendor Service Agreement, including all Schedules, Exhibits, and Statements of Work attached hereto and incorporated herein by reference.

1.2 "Services"

means software maintenance, 24/7 system monitoring, incident response, performance reporting, and development services described in Schedule A, as may be amended from time to time by written agreement of the parties.

1.3 "Service Level Agreement" or "SLA"

means the performance standards, availability targets, and response time commitments set forth in Schedule B, which forms an integral part of this Agreement.

1.4 "Confidential Information"

means all non-public information disclosed by either party relating to its business, technology, customers, pricing, or operations, whether disclosed orally, in writing, electronically, or by any other means.

1.5 "Production Environment"

means Client's live, customer-facing technology infrastructure as identified in Schedule C, including all associated servers, databases, APIs, and third-party integrations.

ARTICLE 2 — SCOPE OF SERVICES

2.1 General Scope. Vendor agrees to provide the Services to Client in accordance with the terms and conditions of this Agreement. The Services shall be performed by qualified personnel with the skills, experience, and certifications appropriate to the nature of the work. Vendor shall maintain sufficient

staffing levels to meet its obligations hereunder at all times during the Term.

2.2 Monitoring and Incident Response. Vendor shall continuously monitor Client's Production Environment using industry-standard tools. Upon detection of any performance degradation, security event, or system failure, Vendor shall initiate incident response procedures within the timeframes specified in the SLA. Vendor shall maintain a dedicated on-call team available 24 hours per day, 7 days per week, 365 days per year.

2.3 Development Services. In addition to maintenance and monitoring, Vendor shall provide up to 40 hours of development and engineering services per calendar month. Development Hours may be used for bug fixes, performance optimizations, feature enhancements, security patches, and technical debt reduction. Unused Development Hours do not roll over to subsequent months. Additional hours are billed at \$185 per hour.

2.4 Reporting. Vendor shall provide Client with monthly performance reports no later than the 5th business day of each month. Reports shall include: (a) system uptime and availability metrics; (b) incident summary and resolution times; (c) development hours consumed; (d) security event log; and (e) infrastructure improvement recommendations.

2.5 Change Orders. Any Services beyond the scope defined herein require a written Change Order signed by authorized representatives of both parties. Vendor shall provide a written estimate within 5 business days of receiving a change request. No additional fees shall be incurred without Client's prior written approval.

ARTICLE 3 — FEES AND PAYMENT

3.1 Monthly Retainer. Client shall pay Vendor a monthly retainer fee of Twelve Thousand Five Hundred US Dollars (\$12,500) for the Services. The retainer is due and payable on the 1st business day of each calendar month.

3.2 Invoicing. Vendor shall issue invoices by the 25th day of each month for Services to be rendered in the following month, together with any amounts due for additional development hours, Change Orders, or reimbursable expenses incurred during the current month.

3.3 Late Payment. Invoices unpaid after 30 days from the invoice date shall accrue interest at the rate of 1.5% per month (18% per annum). Vendor may suspend Services upon 45 days of non-payment, provided Vendor gives Client 7 days advance written notice. Client shall reimburse Vendor for all reasonable costs of collection, including attorneys' fees, for amounts more than 60 days past due.

3.4 Fee Adjustments. Vendor may adjust the monthly retainer fee by up to 5% per year upon 90 days prior written notice to Client. Any proposed fee adjustment exceeding 5% requires mutual written agreement.

ARTICLE 4 — INDEMNIFICATION AND LIABILITY

4.1 Vendor Indemnification. Vendor shall defend, indemnify, and hold harmless Client and its officers, directors, employees, and agents from and against any third-party claims arising from: (a) Vendor's gross negligence or willful misconduct; (b) Vendor's material breach of this Agreement; or (c) infringement of any third-party intellectual property right by the Services as provided by Vendor.

4.2 Client Indemnification. Client shall defend, indemnify, and hold harmless Vendor from and against any third-party claims arising from: (a) Client's use of the Services in violation of applicable law; (b) Client's material breach of this Agreement; or (c) any data, content, or materials provided by Client to Vendor.

4.3 Limitation of Liability. IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, EXEMPLARY, PUNITIVE, OR CONSEQUENTIAL DAMAGES, INCLUDING LOSS OF PROFITS, REVENUE, DATA, OR GOODWILL. EACH PARTY'S TOTAL AGGREGATE LIABILITY SHALL NOT EXCEED THE TOTAL FEES PAID BY CLIENT IN THE THREE (3) MONTHS IMMEDIATELY PRECEDING THE EVENT GIVING RISE TO THE CLAIM.

4.4 Exceptions. The limitations in Section 4.3 shall not apply to: (a) either party's indemnification obligations; (b) breach of confidentiality obligations; or (c) Vendor's gross negligence or willful misconduct.

ARTICLE 5 — CONFIDENTIALITY

5.1 Obligations. Each party agrees to: (a) hold the other party's Confidential Information in strict confidence using at least the same degree of care it uses to protect its own confidential information; (b) not disclose Confidential Information to any third party without prior written consent; (c) use Confidential Information solely for the purpose of performing its obligations under this Agreement.

5.2 Exceptions. Confidentiality obligations do not apply to information that: (a) is or becomes publicly known through no breach of this Agreement; (b) was rightfully known to the receiving party prior to disclosure; or (c) is required to be disclosed by law or court order, provided the receiving party gives prompt written notice to enable the disclosing party to seek a protective order.

5.3 Survival. Confidentiality obligations shall survive termination of this Agreement for a period of 5 years. Upon termination, each party shall promptly return or certify destruction of the other party's Confidential Information.

ARTICLE 6 — TERM AND TERMINATION

6.1 Initial Term. This Agreement commences on June 1, 2025, and continues for an initial period of twelve (12) months through May 31, 2026, unless earlier terminated in accordance with this Article 6.

6.2 Renewal. Upon expiration of the Initial Term, this Agreement shall automatically renew for successive one-year periods unless either party provides written notice of non-renewal at least 60 days prior to the end of the then-current term.

6.3 Termination for Cause. Either party may terminate this Agreement immediately upon written notice if the other party: (a) materially breaches this Agreement and fails to cure such breach within 30 days of

written notice; (b) becomes insolvent; or (c) ceases to conduct business in the normal course.

ARTICLE 7 — SERVICE LEVELS

7.1 Availability Target. Vendor commits to maintaining 99.9% monthly uptime of the Production Environment. Scheduled maintenance windows (maximum 4 hours per month, with 72 hours advance notice) are excluded from uptime calculations.

Severity	Description	Response Time	Resolution Target
P1 — Critical	Complete outage, data loss risk	15 minutes	2 hours
P2 — High	Major feature unavailable	30 minutes	4 hours
P3 — Medium	Degraded performance	2 hours	1 business day
P4 — Low	Minor issues, cosmetic bugs	8 hours	5 business days

7.2 SLA Credits. If Vendor fails to meet the availability target in any calendar month, Client shall be entitled to a service credit equal to 5% of the monthly retainer for each 0.1% below the target, up to a maximum credit of 30% of the monthly retainer. Credits are Client's sole remedy for availability failures.

ARTICLE 8 — GENERAL PROVISIONS

8.1 Governing Law. This Agreement is governed by the laws of the State of Delaware, USA, without regard to its conflict of law provisions. Any dispute shall be resolved by binding arbitration under the AAA Commercial Arbitration Rules in Wilmington, Delaware.

8.2 Entire Agreement. This Agreement constitutes the entire agreement between the parties with respect to its subject matter and supersedes all prior negotiations, representations, warranties, and agreements.

8.3 Force Majeure. Neither party shall be liable for any failure or delay in performance due to causes beyond its reasonable control, including acts of God, natural disasters, war, civil unrest, government actions, or internet failures.

SCHEDULE A — SERVICES DESCRIPTION

The following services are included in the monthly retainer:

- 24/7 infrastructure monitoring via Datadog, PagerDuty, and custom alerting pipelines
- Incident response and escalation management per SLA tiers defined in Schedule B
- Monthly infrastructure health reports and quarterly architecture reviews
- Up to 40 hours of development, bug fixing, and optimization work per month
- Database performance tuning and query optimization (PostgreSQL and Redis)
- CI/CD pipeline maintenance (GitHub Actions, ArgoCD, Kubernetes)
- Security patch management and CVE remediation within 72 hours of critical advisories
- Backup verification and disaster recovery drill (twice annually)
- Third-party vendor coordination for cloud provider (AWS) issues

SCHEDULE B — KEY PERSONNEL

Role	Name	Responsibilities
Account Manager	Jordan Hayes	Primary relationship, escalation point
Lead Engineer	Sam Okafor	Architecture decisions, P1 response
DevOps Engineer	Priya Nair	Daily monitoring, CI/CD, patching
Security Analyst	Chris Bauer	Vulnerability management, audits
On-Call Engineer	Rotating	After-hours incident response

SIGNATURE PAGE

TECHCORP INC. (Client)

Signature: _____

Name: _____

Title: _____

Date: _____

CLOUDSERVICES LTD. (Vendor)

Signature: _____

Name: _____

Title: _____

Date: _____